

When & how to sell calls

Four regimes. One rule per regime. No guessing.

■ RVX calm — below ~22, flat EMA

Volatility has normalised. Candles hugging the EMA. No clear trend.

Sell OTM call

■ RVX elevated — 22 to 27, rising EMA

Stress is building. Market is choppy. Collect premium as compensation for capped upside.

Sell ATM call

■ RVX crisis — above 27, EMA pointing up

High fear environment. Collect maximum premium as downside cushion.

Sell ITM call

■ Recovery — RVX falling fast from a peak

Price crossed below a declining EMA. Three consecutive closes below confirm the regime. Your LEAPS will do the work.

Go uncovered — let the LEAPS run

Two things to always remember

- 01 **The LEAPS is your seatbelt.** The short call is pocket money. Selling a call does not make you safer — it just pays for the petrol.
- 02 **You don't predict the weather.** You look out the window and react. Three candles closing on the same side of the EMA confirms a regime change.